

will happen regardless of how far off this consensus may be from what is really occurring or will occur.

At this point many pragmatic individuals simply throw up their hands in disbelief. If the huge price changes that occur in individual stocks are made solely because of changed appraisals by the financial community, with these appraisals sometimes completely at variance with what is going on in the real world of a company's affairs, what significance have the other three dimensions? Why bother with the expertise of business management, scientific technology, or accounting at all? Why not just depend on psychologists?

The answer involves timing. Because of a financial-community appraisal that is at variance with the facts, a stock may sell for a considerable period for much more or much less than it is intrinsically worth. Furthermore, many segments of the financial community have the habit of playing "follow the leader," particularly when that leader is one of the larger New York City banks. This sometimes means that when an unrealistic appraisal of a stock is already causing it to sell well above what a proper recognition of the facts would justify, the stock may stay at this too high level for a long period of time. Actually, from this already too high a price it may go even higher.

These wide variations between the financial community's appraisal of a stock and the true set of conditions affecting it may last for several years. Always, however—sometimes within months, sometimes only after a much longer period of time—the bubble bursts. When a stock has been selling too high because of unrealistic expectations, sooner or later a growing number of stockholders grow tired of waiting. Their selling soon more than exhausts the buying power of the small number of additional buyers who still have faith in the old appraisal. The stock then comes tumbling down. Sometimes the new appraisal that follows is quite realistic. Frequently, however, as this re-examination evolves under the emotional pressure of falling prices, the negative is overemphasized, resulting in a new financial-community appraisal that is significantly less favorable than the facts warrant and that may then prevail for some time. However, when this happens, much the same thing occurs as when the appraisal is too favorable. The only difference is that the process is reversed. It may take months or years for a